

Company Accounts

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Company Accounts is the specialised branch of financial accounting that governs how joint-stock companies prepare, present and disclose their financial statements under the Companies Act, 2013, Schedule III, and Accounting Standards issued by ICAI (AS) / Ind AS. The CS Executive paper tests this area through numerical problems on share capital, forfeiture, debenture redemption, goodwill valuation and amalgamation, plus theory on holding-company consolidation.

Key Term Core Idea (with units)

Equity Share Capital Voting shares, dividend paid from profits, repaid last on winding-up (Section 43)

Preference Share Capital Priority over equity for dividend and capital; cumulative/participating variants (Section 43)

Forfeiture Amount received (incl. premium if any) transferred to Share Forfeiture A/c; discount on reissue is debited there (Section 53)

DRR Debenture Redemption Reserve = 15 % of nominal value of outstanding debentures (NBFCs); credited out of profits

Goodwill (Super Profit) $(\text{Average Profit} - \text{Normal Profit}) \times \text{Years' Purchase}$; $\text{Normal Profit} = \frac{\text{Capital Employed} \times \text{Normal Rate}}{100}$ (INR)

Amalgamation (AS-14) Pooling of Interests merges reserves; Purchase Method treats acquisition as a purchase and computes goodwill/capital reserve

- Issue price of share = Face Value (INR) + Premium (INR/share); discount on issue is prohibited except sweat equity.
- Calls in Arrears = $\sum (\text{Shares in arrears} \times \text{Unpaid amount})$, INR; interest @ rate $\times$ time/12 is debited to the allottee.
- Sinking Fund instalment = $\frac{\text{Redemption Value}}{\text{Annuity factor at rate } i \text{ for } n \text{ years}}$ (INR).

High-Yield Memory Hook: "FPC-DG-GAS" — Forfeiture Premium-stays-in-Capital (Forfeited A/c); DRR = 15 %; Goodwill uses Average + Super + Capitalisation; Amalgamation Same balance sheet (Pooling) or New (Purchase); Share capital priority: Preference Equity.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Share Capital, Forfeiture and Reissue

Under Sections 43-47 of the Companies Act, 2013, a company can issue equity and preference shares at par, at premium, or (only as sweat equity under Section 54) at discount. When a shareholder fails to pay calls, the company may forfeit the shares; the amount already received — including any securities premium paid at the time of application or allotment — must be credited to the Share Forfeiture Account*** and cannot be treated as capital profit available for dividend (this is the most-tested ICAI concept).

On reissue, any discount allowed is debited to the Share Forfeiture Account itself. The balance remaining after discount represents the company's gain; it can later be transferred to Capital Reserve only at the year-end and only to the extent of discount actually allowed on reissue.

Item Forfeiture Entry Reissue Entry

Called-up capital (per share) Dr. Share Capital A/c —
 Premium received Dr. Securities Premium A/c —
 Calls in Arrears — Dr. Bank A/c
 Discount on reissue — Dr. Share Forfeiture A/c
 Bank (amount received) Cr. Calls in Arrears / Bank Cr. Share Capital (face)

Debenture Redemption and Sinking Fund

Section 71 read with Rule 18(1) of the Companies (Share Capital and Debentures) Rules, 2014 requires every company (other than NBFCs, where the threshold is 15 %) to create a DRR of 25 % of the nominal value of outstanding debentures, before redemption out of profits. The Sinking Fund Method transfers a fixed annual instalment — calculated via the annuity formula — to a Debenture Redemption Fund Account, which is invested outside the business in trustee securities; the interest earned accretes the fund.

$$S = \frac{R}{i} \left[1 - (1+i)^{-n} \right] \quad \Rightarrow \quad R = \frac{S \cdot i}{1 - (1+i)^{-n}}$$

where S = redemption value (INR), R = annual instalment (INR), i = rate of interest (decimal), n = years to redemption.

Concept Comparison Matrix

The following pairs are routinely confused in MCQs:

Concept	Applies To	Calculation Base	Result Treatment
Goodwill – Super Profit Method	New acquisition	Average Profit – Normal Profit	Multiplied by Years' Purchase
Goodwill – Capitalisation of Average Profit	Going concern valuation	Average Profit × (100 / Normal Rate) – Capital Employed	Single number
Goodwill – Capitalisation of Super Profit	Going concern valuation	Super Profit × (100 / Normal Rate)	Single number
Net Asset Method	Share valuation	Assets – Outside Liabilities	Intrinsic value per share
Yield Method	Preference shares / constant-dividend equity	(Expected return / Yield %)	Capitalised value
AS-14 Pooling of Interests	Amalgamation	Book values merged	Reserves continue at carrying amount
AS-14 Purchase Method	Amalgamation	Fair values + Purchase Consideration	Goodwill/Capital Reserve arises

Exam-Level Worked Problem

Question: A company issued 10,000 equity shares of ₹ 100 each at a premium of ₹ 20 per share, payable as: Application ₹ 40 (incl. ₹ 10 premium), Allotment ₹ 50 (incl. ₹ 10 premium), First & Final Call ₹ 30. All sums were received except on 500 shares (applicant failed to pay allotment and call). These shares were forfeited immediately after allotment and later reissued at ₹ 80 per share as fully paid. Pass journal entries and compute the amount transferred to Capital Reserve.

Solution:

On forfeiture (500 shares; called-up ₹ 90 each, premium received ₹ 5,000):

- Share Capital A/c Dr. ₹ 45,000 (500 × 90)
- To Calls in Arrears A/c ₹ 45,000
- (Note: Securities Premium received ₹ 5,000 had already been credited to SPR on receipt, so it is not routed through forfeiture entry — only called-up capital is cancelled.)

Bank receipt on forfeiture: ₹ 35,000 ($500 \times ₹ 70 =$ application ₹ 30 + allotment ₹ 40) already received. ₹ 45,000 calls in arrears are cancelled against called-up capital. Net gain per share forfeited = ₹ 70 = ₹ 35,000 standing to the credit of Share Forfeiture A/c.

On reissue of 500 shares at ₹ 80 as fully paid (face ₹ 100):

- Bank A/c Dr. ₹ 40,000 (500×80)
- Share Forfeiture A/c Dr. ₹ 10,000 (500×20 discount)
- To Share Capital A/c ₹ 50,000 (500×100)

Capital Reserve = Forfeited amount – Discount on reissue = $35,000 - 10,000 = ₹ 25,000$.

Examiner Trap: Students often debit Securities Premium ₹ 5,000 in the forfeiture entry — this is wrong because premium was already credited to SPR at receipt; cancelling only the called-up capital keeps SPR intact and undistributable. Another common slip: transferring the full ₹ 35,000 to Capital Reserve without netting off the ₹ 10,000 discount used.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Holding Company Accounts and Consolidation

When a company acquires more than 50 % of another company's voting power, AS-21 / Ind AS 110 mandates preparation of a Consolidated Balance Sheet and Consolidated Statement of Profit and Loss. The parent's share of the subsidiary's net assets on the date of acquisition is compared with the Cost of Investment; the difference is either Capital Reserve (cost < share) or Goodwill (cost > share). Minority Interest equals the minority shareholders' proportion of the subsidiary's net assets on the acquisition date only — post-acquisition profits attributable to minority are debited to minority interest and credited to P&L (profit share) or reserves (loss share).

Amalgamation Mechanics Under AS-14

Under Pooling of Interests, the resultant company's share capital equals the total share capital of the transferor companies (plus any fresh issue), reserves are simply aggregated at carrying amounts, and no goodwill arises. Under Purchase Method, all assets and liabilities are restated at fair values, Purchase Consideration is allocated, and the balancing figure is Goodwill (DR) or Capital Reserve (CR). A frequent error: students book dividend paid by the transferor pre-amalgamation as a charge to P&L of the combined entity — it must be adjusted through reserves because the post-acquisition P&L of the transferor is not brought in.

Edge Cases and Advanced Traps

Premium on redemption of debentures — debited to P&L over the debentures' life (AS-16 read with Section 71); writing it off from Securities Premium is not permitted.

Profit prior to incorporation — apportioned strictly on a time basis (months of pre-incorporation trading ÷ total months), not on the basis of revenue earned.

Calls in advance — interest credited to a separate liability (Calls in Advance Interest A/c), never to P&L, because it is a return of capital, not revenue.

Cumulative preference dividend in arrears — disclosed as a contingent liability in the Notes to Accounts; not provided for in books until declared.

Bonus issue — permissible out of Securities Premium Reserve, General Reserve and Capital Reserve only; Capital Redemption Reserve may also be utilised (Section 68).

Liquidator's Final Statement of Account — preferential payments follow Schedule III of the Insolvency and Bankruptcy Code, 2016: secured creditors (to the extent of security), workmen's dues (24 months), employee wages, taxes, then unsecured creditors; equity contributories come last.

Valuation of goodwill when capital employed fluctuates — use Weighted Average Profit with corresponding weights to dampen the effect of abnormal years.

Adjacent Topics Worth Linking

- Internal Reconstruction vs. External Reconstruction — capital reduction under Section 66; distinguish from amalgamation.
- Financial Statements Preparation — Schedule III format; mandatory disclosure of shareholding pattern, contingent liabilities and related-party transactions.
- Mergers & Acquisitions (Ind AS 103) — only companies not yet on Ind AS continue to follow AS-14.

Advanced Practice Prompts

Q: A company issues 20,000 12 % debentures of ₹ 100 each at 5 % discount, redeemable at 10 % premium after 5 years. Calculate the annual Sinking Fund instalment assuming 9 % reinvestment rate. Comment on the DRR requirement.

Q: Holding Co. acquires 80 % of Subsidiary Co. for ₹ 1,60,000 when Subsidiary's net assets are ₹ 1,50,000. Compute Goodwill/Capital Reserve and the Minority Interest appearing in the Consolidated Balance Sheet. Show the adjustment journal entry in the Consolidated P&L for post-acquisition minority profit of ₹ 12,000.

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